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Geopolitical shocks unsettle markets, but history shows long-term outcomes can be resilient.

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MARKETS AND ECONOMY

Iran conflict: Keeping perspective on market risk

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Tensions in the Middle East have rattled global markets. Both equities and bonds have experienced losses amid great uncertainty, and oil prices have spiked, creating a challenging dynamic. Although recent events can feel unsettling for many reasons, history suggests that such periods don't typically derail long-term investment outcomes.

What's driving markets at this time

These geopolitical tensions are influencing markets primarily through energy prices. Concerns about supply disruptions have pushed oil prices higher, which can feed into expectations around inflation and monetary policy and weigh on investor sentiment.

Importantly, markets appear to be repricing near-term risk rather than signaling a fundamental shift in long-term economic prospects. Markets have responded, but not in a way that suggests fears of a sustained shock to growth.

Perspective still matters

It's clear why investors will want to pay attention to these developments: Concerns about escalation and continued spillover are understandable given the region's place in global oil production and distribution. Although near-term uncertainty is likely to remain high and oil prices may remain volatile, markets tend to recalibrate as scenarios become clearer and extreme outcomes fail to materialize.

Lessons from history

Periods when stocks and bonds decline together are often associated with inflation concerns, policy uncertainty, or sudden risk repricing. Historically, these environments have tended to be transitional rather than enduring. Markets adapt as inflation pressures ease, policy clarity improves, and uncertainty fades.

Geopolitical events rarely alter long-term market direction unless they result in:

- A prolonged disruption to global energy supply.
- A pronounced tightening in financial conditions.
- A broad economic downturn.

Absent these outcomes, markets have typically recovered even when tensions have persisted. While markets don't like uncertainty, strong reactions to geopolitical events are generally short-lived. In the wake of major geopolitical events going back decades, U.S. stocks have delivered positive average returns 6 and 12 months later.

What this means for investors

Diversification still matters, even when it's tested. Although diversification may not eliminate short-term losses, it remains important for long-term resilience.

Discipline is essential. Remaining invested through volatile times means not selling when markets have bottomed.

Market volatility can create opportunity. This is especially true for investors rebalancing or investing new dollars to better align portfolios with long-term goals.

The bottom line

Periods when both stocks and bonds are under pressure can be particularly uncomfortable and may feel unique, but they are part of investing. While volatility may persist in the near term, long-term outcomes remain driven by fundamentals such as economic growth, inflation trends, and policy credibility. Investors who stay disciplined, diversified, and focused on their long-term objectives have historically been best positioned to navigate uncertainty and participate in future growth.

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